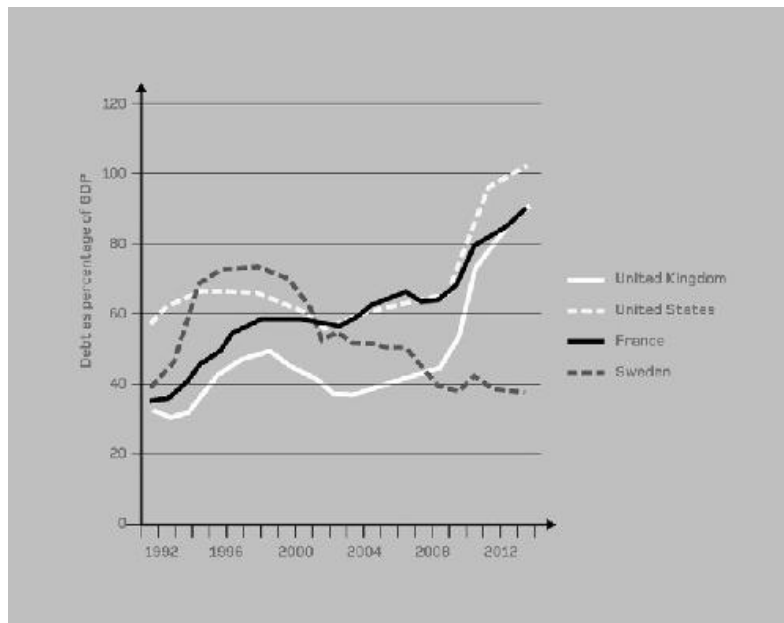


Government debt



It is sometimes said that a country is like a person: it must live within its means and pay back its debts. One difference, though, is that an individual retires and dies, but a country produces indefinitely: this means that countries don't have to wipe clean their debts. A country's debt is sustainable when it can meet today's interest and other payment obligations, and it can do this if its debt stays at a reasonable proportion of GDP. As long as its economy expands over the long run, it can take on more debt.

Problems arise when the share of debt in GDP is so high that the government is unable to repay. Even before this, though, there are reasons to be concerned about the build-up of debt: it allows more consumption today, but less gets invested, hurting future generations. Some economists argue that debt doesn't even make individuals consume more today, because of their expectation of future tax rises. Too much debt may also stoke inflation, or damage a government's creditworthiness.